VELUSE AGENCY STANDARD OPERATING PROCEDURE (SOP)DEPARTMENT: Revenue Architecture & Valuation**SUBJECT:** The Lifetime Gross Profit (LTGP) Calculator & Pricing Architecture**PURPOSE:** To systematically maximize the true economic value of our Med Spa clients and establish the pricing models required to build a highly valued enterprise.

PART 1: DEFINING THE "LTGP" METRIC

At Veluse Agency, we must completely discard the vanity metric of "Lifetime Revenue." Alex Hormozi explicitly defines the core growth metric as Lifetime Gross Profit (LTGP) 1. LTGP is the total amount of gross profit a business collects over the entire lifespan of a customer 2. Gross profit is strictly the revenue minus the direct cost of servicing that additional customer 3. It does not include indirect costs like facility rent or administrative overhead 1.
Why do we obsess over LTGP? Because LTGP is the ultimate arms race of business 2. In an auction of attention, the business owner who makes their customer the most valuable wins, because they can continually outspend all competitors on customer acquisition 4-6. To calculate LTGP for our recurring Med Spa AI services, or for a Med Spa's membership program, we take the gross profit per customer and divide it by the churn percentage 4.

PART 2: ONE-TIME VALUE VS. CONSUMABLE VALUE

A fatal mistake most marketing agencies and Med Spas make is misunderstanding the lifespan of the value they deliver. To price our offers effectively, we must separate our deliverables into two distinct categories:

- **One-Time Value:** This encompasses transformational education, initial infrastructure setup, customized blueprints, or intensive staff training 7, 8. For Veluse, this is the heavy lifting of building the Med Spa's AI CRM and training their front desk. The day before they possess this infrastructure, the value to them is immense 7, 8. However, the day after it is installed and the staff is trained, the ongoing value of that specific setup drops to zero because they already possess the skill and the asset 7, 8.
- **Consumable (Ongoing) Value:** These are elements the client relies on and consumes month after month 9. This includes access to a peer community, weekly coaching calls, ongoing ad management, and software hosting 8, 10.

The Pricing Rule: You must never take the high cost of one-time transformational value and spread it out over a monthly payment plan 11, 12. For example, if we spread a $30,000 infrastructure build into twelve $2,500 monthly payments, the client will look at the ongoing *consumable* value they receive in month four, realize it does not feel like it is worth $2,500 a month, and they will inevitably cancel 7, 9, 12.

PART 3: THE "BIG HEAD, LONG TAIL" MODEL & ENTERPRISE VALUE

To eradicate month-four churn and maximize Enterprise Value, we deploy the "Big Head, Long Tail" pricing model 12, 13.

- **The Big Head (Upfront Cash):** We charge a massive, premium one-time upfront fee for the transformational setup and one-time value 12, 13. This allows us to liquidate our acquisition costs immediately and forces the client to become highly invested in the outcome.

- **The Long Tail (Continuity):** We then charge a much smaller, appropriately priced monthly recurring fee exclusively for the ongoing consumable software, maintenance, and support 12, 13.

By pricing the ongoing service appropriately relative to the consumable value they experience daily, the price-to-value discrepancy remains incredibly high in the client's favor, and they will never want to cancel 14, 15.

Maximizing Enterprise Value: An enterprise is valued based on the reliability and predictability of its future cash flows 16. If you force clients into high monthly payments that do not match the consumable value, they will churn, and institutional investors will view your business as a volatile, low-value service 12, 17. By utilizing the Big Head, Long Tail model, you lock in customers who stay for years, creating a massive, predictable recurring revenue base 14, 18. This systematically drives up your LTGP, minimizes operational risk, and allows you to command premium enterprise multiples when it is time to sell the company 17, 19.